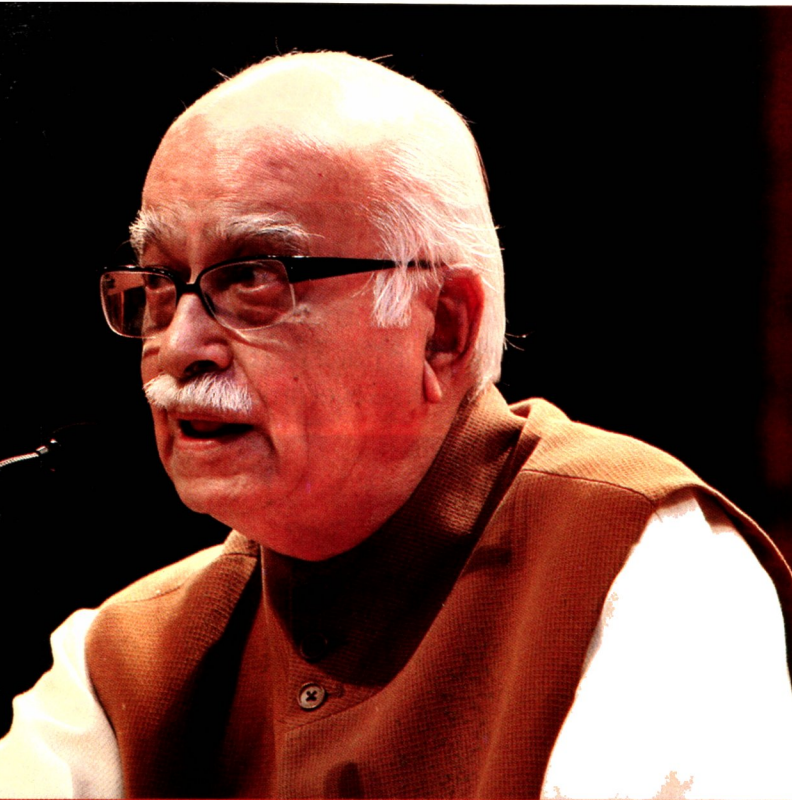




BHASKAR PAUL

■ During 2002-'06, \$10 bn to \$100 bn have been stolen out of India every year.

Global Financial Integrity Report, 2006

■ At least \$6.2 trillion of wealth is held offshore, depriving developing countries of annual tax receipts of \$64-124 bn.

Oxfam Study

■ India is estimated to have lost \$5.2 bn just in taxes due to bilateral trade mispricing with the EU and US in 2005-'07.

Christian Aid

(Swiss Francs). Swiss bankers also managed CHF1,383 mn (\$1.2 bn) belonging to Indians in a fiduciary capacity. In fact, the total assets of all foreigners in Swiss banks is CHF2,070,437 million (or \$1.8 trillion). Contrast this with the range of \$500 bn to \$1.4 trillion of just Indian money stashed in Swiss banks as claimed by Team Advani. Perhaps, money is hidden in custody accounts. By end-2008

the value of securities in these secret accounts of foreigners was CHF2,190 billion (\$1.9 trillion). It is a moot point how much of this could be Indian money.

Quantum of money apart there is also the leverage factor. Does India have the kind of leverage US has? And mind you, the US government failed to get the UBS to spill out all the names. As Kapil Sibal, a top lawyer and Union minister for science and technology, says, getting

to the pot of money is a complex exercise as "one has to first prove violations". Sibal also questions the timing of this idea. "Why didn't they do anything when they were in power for six years? Why didn't Advani raise this issue in the past five years as the leader of the Opposition? If the issue is raised now after 11 years of silence, it is because they are short of poll issues."

There is, of course, no debate that Indians have stashed huge sums in overseas entities. The sources are unlimited—from business to corruption to crime. Indians, without doubt, own a substantive stake in the \$11-plus trillion stashed across the globe. One route is overinvoicing of imports. India imported capital goods worth \$45 billion last year, and officials believe, at least 10 per cent is siphoned and stashed abroad making India one of the top 10 countries with illicit outflows. This, though, is not the only route. The Satyam saga is validation of software exports being another route.

Over the years the adulterous politician-babu-corporate nexus has worked together to orchestrate the framing and changing of rules to suit end use. The formula: to send money abroad inflate costs—of goods or services sought abroad—and to bring money back inflate income. Indeed, it is passé to stash in Swiss banks. Corporates now have legal ways and means to keep money outside India. FII's, sub accounts and P-Notes are all part of the routing process and Cyprus, Singapore, Dubai, Mauritius are all new destinations.

None of these facts should detain Team Advani or the government of India from pursuing the idea. Hot pursuit of hot money is an idea whose time has come. India must take advantage (as it has indeed in the case of Liechtenstein's LGT Bank) of the emerging consensus across the globe against tax havens. But for rhetoric to translate into outcome it would also have to address issues at home. They would range from ending the abuse of double tax treaties to wiping out the P-Note and sub accounts culture. Very simply, the next political idea must be to dismantle the benami empires—whether of dons, politicians or tycoons. ■

“We raised the issue of money in Swiss banks in February and asked the Government to get it back. Advani has only followed it up.”

PRAKASH KARAT, CPI(M) General Secretary



“What did they do for six years? Why was he silent as the leader of the Opposition for five years? It is a poll promise as they are short of issues.”

KAPIL SIBAL, Union Minister for Science and Technology